In this lesson, you will learn how to organize the charting landscape into well-marked levels that predict swings & breakouts. Profitability will depend on how accurate you can interpret price at support & resistance interfaces.

Exchange rates in forex can move in three directions: Up, down, and sideways. A rise in a exchange rate is slowed down or blocked by a zone of resistance, and a decline in a exchange rate is slowed down or hindered buy an area of support. A sideways movement in a exchange rate occurs in a period of consolidation when supply & demand is in equilibrium.

Support & resistance are core concepts in technical analysis. Support is an area under the current price - it can be considered as the floor for current price. Resistance is an area above the current price - it can be considered as the ceiling for current price. A support or resistance level is formed when the markets price action reverses and changes direction causing a top or bottom in the market.

A horizontal line is the best trend-line to draw to highlight where there might be a break to the upside or downside. Using this break and retest strategy in conjunction with price action and other strategies like Fibonacci will greatly increase the profitability of each trade.

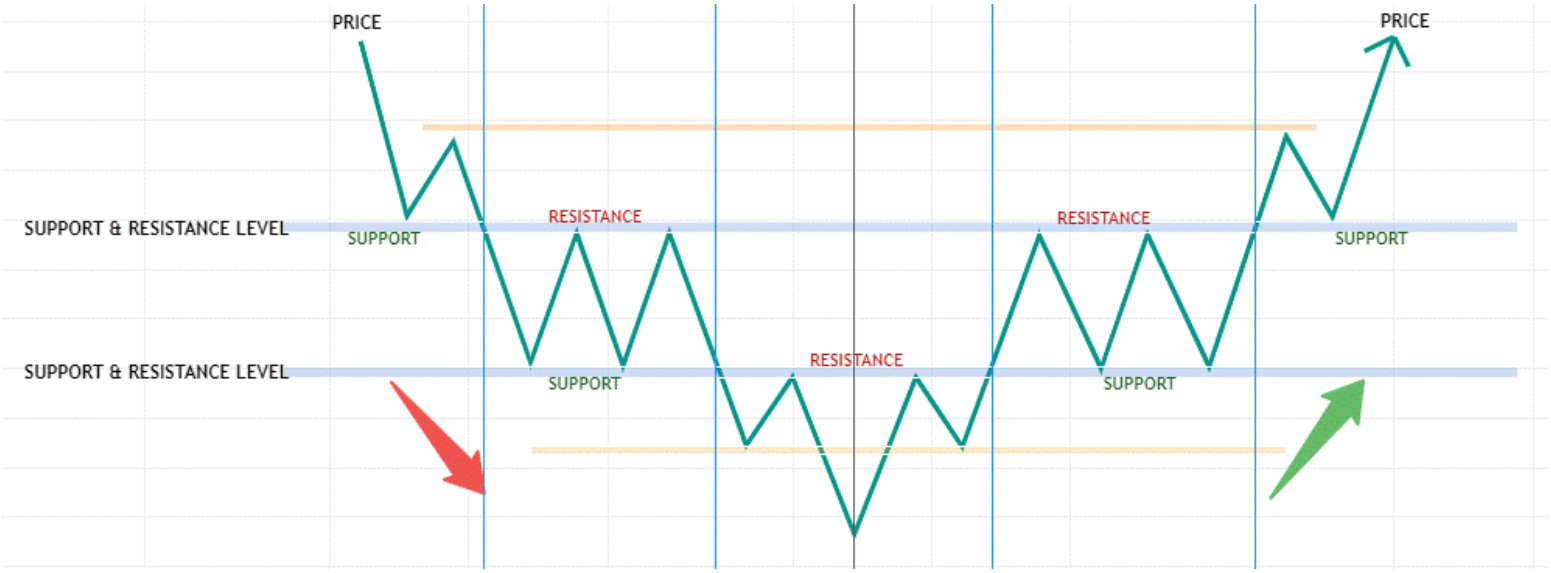
In chart below, (price) the green zig zag pattern above the red arrow is considered to be in a downtrend making lower lows, lower highs and consolidating before pivoting at the black vertical line to rise and retest previous support and resistance levels and possibly rise to make new higher highs. The blue vertical lines on the left of the black line shows when price breaks through a support level and on the right side of the black line it shows where price breaks through a resistance level. In a trending market, prices first interaction with support is called a **"bounce"** and then makes a lower high before making a second interaction with support called the **"break"**. A support level indicates where there will be an excess of buyers which is why price will rally before pulling back to retest that level. Now, when price breaks through this level or zone of support, that zone/level will now become a zone/level of resistance for price to re-test as it rises. A resistance level indicates where there will be an excess of sellers which is why price will retrace before rising to retest that level.

You can trade **support level/zones** in two ways,

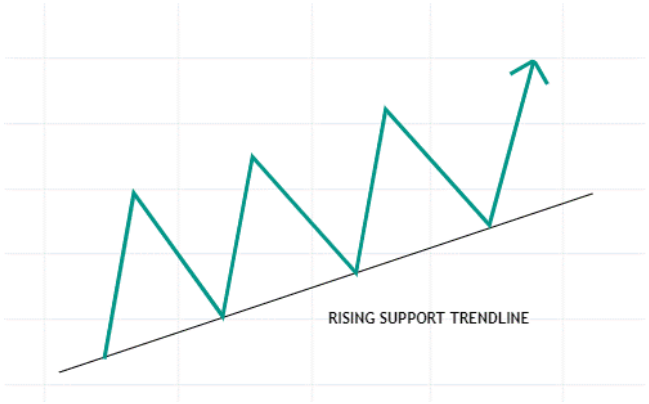
1. You buy when price falls towards support which is known as the **"bounce"**
2. You sell when the price breaks down through support which is the **"break"**

& trading resistance is as follows,

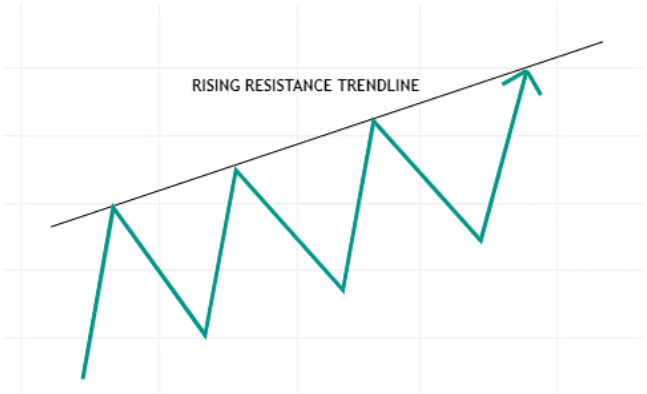
1. You sell when price rises towards resistance which is the **"bounce"**
2. You buy when the price breaks up through resistance which is the **"break"**



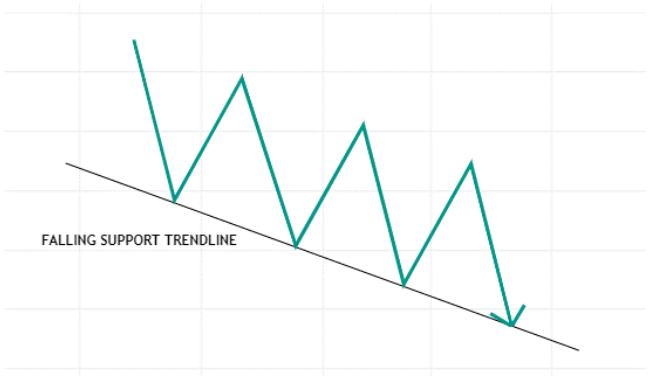
You create a support line by connecting relative lows of price with the line tool, and doing the same thing with relative highs of price to form resistance on your charting software. Draw diagonal lines in trending markets and horizontal lines in a range-bound markets. These lines work simply because the market remembers these significant levels.



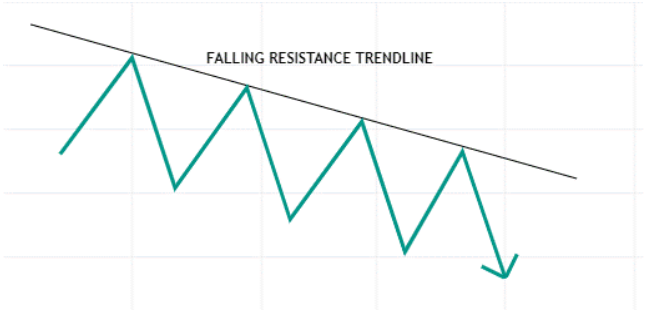
A rising support trend-line, from **bottom to top** is drawn under the price that serves as support or a floor. **A trend-line is considered significant when price touches it at least three times.**



A rising resistance trend-line, from **bottom to top** is drawn above the price that serves as resistance or a ceiling.



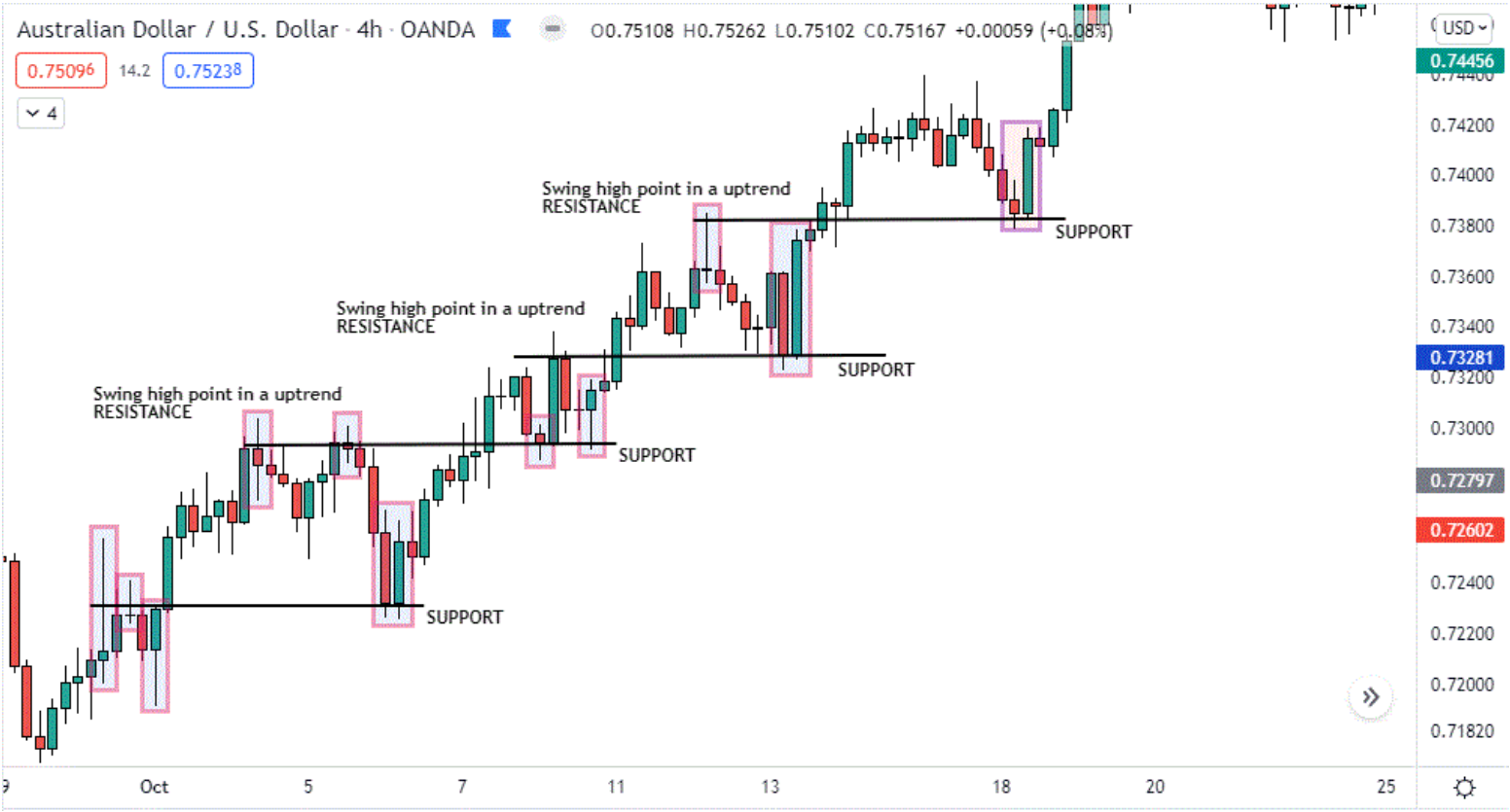
A falling support trend-line, from **top to bottom** is drawn under the price that serves as support or a floor. **Price action should be carefully analyzed each instance price touches the trend-line for entry or exit opportunities.**



A falling resistance trend-line, from **top to bottom** is drawn above the price that serves as resistance or a ceiling.

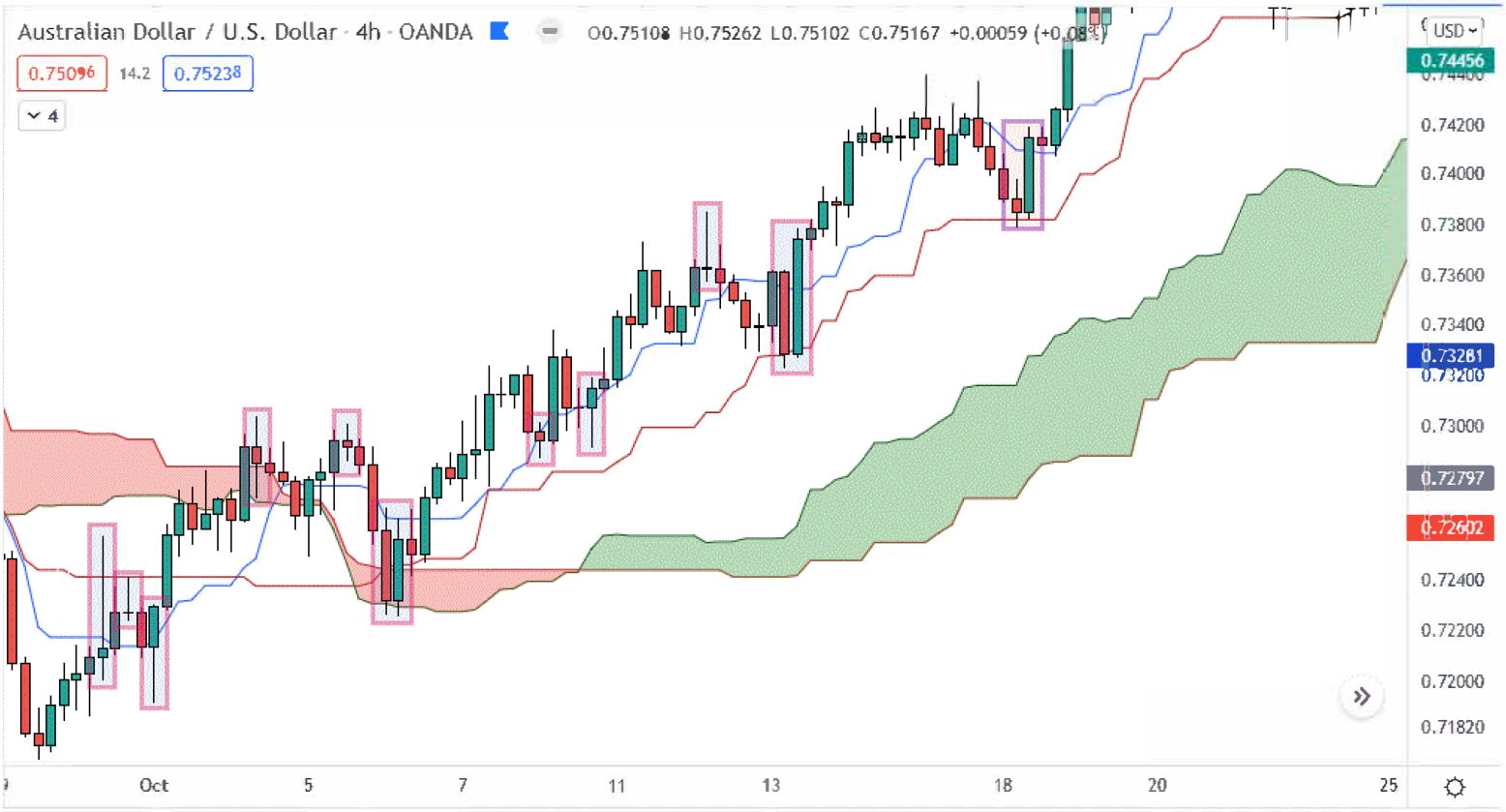
Support and resistance levels go hand in hand with price action. When a cluster of candles, wicks or patterns that emerge at a key level of support and resistance, it can be a high-probability entry scenario. The key level gives you a 'barrier' to place your stop loss beyond it and since it has a strong chance of being a turning point in the market, there's usually a good risk reward ratio formed at key levels of support and resistance in a market.

In the example chart below, the candle patterns highlighted in the purple boxes identifies key reversal price action patterns at intraday support & resistance levels.



The Ichimoku cloud serves as a trend-tracking indicator that identifies major price reversals. The cloud represents a major obstacle to break for the exchange rate. The downside breakdown of price through the cloud means the breaking of the equilibrium zone and marks the beginning of a new trend that should last for a while. As always, it's necessary to obtain confirmation of the validity of the signal through price action before executing the trade. Several conditions need to be met to filter markets noise which will be discussed in the Technical Strategies section of this course. To summarize, price above the cloud provides a bullish sentiment, price below the cloud provides a bearish sentiment, and price within the cloud identifies an equilibrium between buyers and sellers.

In the example chart below, the candle patterns highlighted in the purple boxes identifies the same key reversal price action patterns but at the base line (red line) which represents the cloud (Lagging Span B) on lower timeframes. Notice the bullish price action at support and the bearish price action at the top of the cloud. In the later lessons, we will talk about how we can use divergence to confirm these bullish and bearish price actions.


Australian Dollar / U.S. Dollar · 4h · OANDA
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